

BUS 577 – Platform Power – Summer 2026

## Session 3: Platform Architecture & Ecosystem Design

Monday, July 20, 2026

6:00 – 7:30 PM PT - Zoom

Alex Cheng

## Individual Quiz #1

**OPENS JULY 21 – DUE JULY 28**



**Opens July 21, 2026, 12:00 AM PT**

Due July 28, 2026, 11:59 PM PT



**15-minute time limit**

Once started, the clock doesn't stop



**2 attempts allowed**

Highest of the two scores is kept



**Covers Part 1 concepts**

Sessions 1–3 material

### QUIZ DETAILS

#### Canvas Quiz

**Opens:** July 21, 2026 – 12:00 AM PT

**Due:** July 28, 2026 – 11:59 PM PT

**Time limit:** 15 minutes

**Attempts:** 2 – highest score kept

**Coverage:** Part 1 (Sessions 1–3)

## Group Case Study #1

### EPIC GAMES: NINETEEN EIGHTY-FORTNITE



#### Written case analysis

4–5 pages + exhibits/references, as a group



#### Random subset presents live

Groups not selected submit written analysis for evaluation



#### Canvas submission only

One submission per group



#### 15% of final grade

Rubric is prescriptive on frameworks, open on conclusions

### CASE DETAILS

#### Epic Games: Nineteen Eighty-Fortnite

|                   |                              |
|-------------------|------------------------------|
| <b>Materials:</b> | HBS 721-395 (A), 725-400 (B) |
| <b>Lens:</b>      | Monetization & pricing power |
| <b>Format:</b>    | Group written analysis       |
| <b>Length:</b>    | 4-5 pages + exhibits         |
| <b>Weight:</b>    | 15% of final grade (15 pts)  |

## Five Questions About Platform Architecture

1. The core interaction : how to design it
2. Openness: who can build on you
3. Plugging into existing platforms
4. UGC as a flywheel
5. Ecosystem dependency risk

### TAKEAWAY

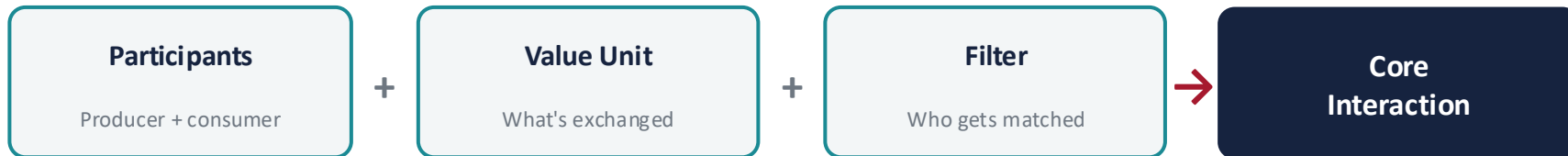
Core interaction blueprint

Who arrives, what they exchange

Where you capture value

## The Core Interaction: The Why of Platform Design

- Every platform starts with one core interaction — the exchange that attracts most users in the first place
- LinkedIn today enables many interactions, but it started with one: professionals connecting with professionals



## Pull, Facilitate, Match: The How

- Platforms succeed by doing three things well: pulling participants in, facilitating easy exchange, and matching them accurately

### PULL

Attract participants; solve chicken-or-egg

### FACILITATE

Make exchange easy with tools and rules

### MATCH

Connect the right participants using data

## Pull, Facilitate, Match: The How

### Discussion

*Craigslist has a famously ugly interface and almost no matching algorithm — yet it still dominates classifieds on pull alone. Vimeo and YouTube coexist by doubling down on different functions: YouTube wins on pull and match, Vimeo differentiates on facilitate (hosting and tools).*

**If you were building a new platform on a limited budget, which function would you prioritize first — pull, facilitate, or match? Which would you deliberately leave weak at launch?**

## Openness Decisions: Three Kinds

- Three decisions every platform faces: who manages/sponsors it, who can build on it, and who can add content

### MANAGER/SPONSOR

Who controls the architecture and legal rights

### DEVELOPER

Who can build extensions or integrations on top of you

### USER

Who can add content, and how much gets curated



## Openness Decisions: Three Kinds

### Discussion

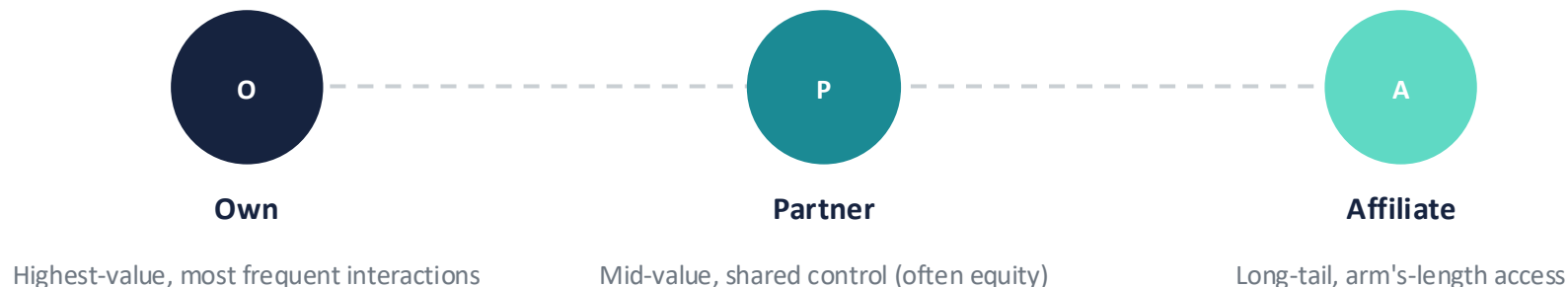
*Apple charged extension developers \$10,000 for early iOS SDKs, keeping its developer pool small and curated. Microsoft gave Windows SDKs away for free and built a massive, much less curated developer pool. Both dominated their era — in very different ways.*

**Which choice created more value for users? Which created more risk for the platform owner? If you were setting openness policy for a new platform today, which model would you start with?**

Bryce, Dyer & Van Alstyne — "Are You Missing Growth Opportunities for Your Platform?" (HBR, 2025)

## Applying Openness: Own, Partner, or Affiliate

- The value curve: own the head, partner in the middle, affiliate the tail
- Tencent grew WeChat by partnering, not owning — equity aligns incentives better than contracts



Bryce, Dyer & Van Alstyne — "Are You Missing Growth Opportunities for Your Platform?" (HBR, 2025)

## Applying Openness: Own, Partner, or Affiliate

### Discussion

*Google built Google+, Buzz, and Offers internally — all failed against entrenched competitors. It later bought YouTube instead of building a competitor.*

**Was Google's mistake the building, or was it what they chose to build? Would partnering have saved Google+?**

## Plugging Into Existing Platforms

- New ventures can plug into Shopify, AWS, or the App Store instead of building from scratch
- APIs are the connective tissue — Amazon has 33 open APIs and 300+ “mashups”; Walmart has one

### SHOPIFY

Commerce — checkout, payments, storefront

### AWS

Infrastructure — hosting, compute, storage

### APP STORE

Distribution — reach and discovery

## Plugging Into Existing Platforms

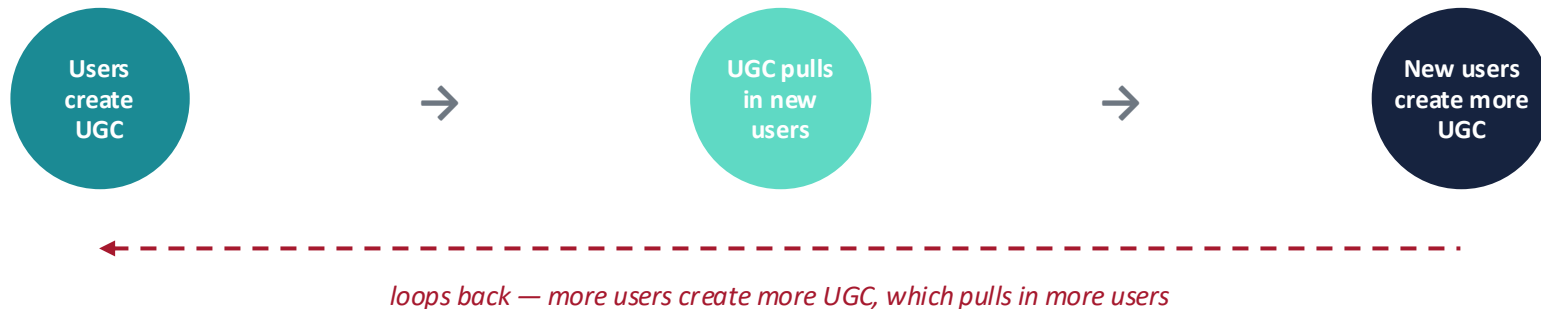
### Discussion

*You're launching a new DTC (direct-to-consumer) subscription box company. Building your own checkout, hosting, fulfillment, and payments from scratch could take a year and millions of dollars — or you could launch in weeks on Shopify + AWS + Stripe.*

**What do you gain by plugging in instead of building? What do you quietly give up control over? Would your answer change if this were your life's most important company, not a side project?**

## UGC & Social Media as a Flywheel

- Social media runs on seven functional blocks — no platform maxes out all seven
- UGC pulls in more users, who create more UGC — the flywheel behind most platforms



## UGC & Social Media as a Flywheel

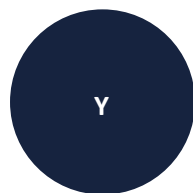
### Discussion

*Reddit and Wikipedia are almost entirely built and maintained by unpaid users – no one on staff writes the content that makes people show up.*

**If those users stopped contributing tomorrow, how long before new visitors stopped showing up too? What does that tell you about where the real value of these platforms actually lives?**

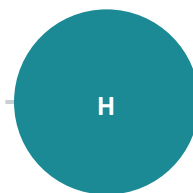
## Ecosystem Dependency Risk (First Look)

- Platforms that plug in inherit a risk: the host can change the rules or build the feature itself
- Same pattern at every scale — SAP vs. ADP, or Li Jin's disintermediation risk when a client goes off-platform



**Your Venture**

Depends on the host for reach, tools, or infrastructure



**Host Platform**

Can change the rules, the algorithm, or build your feature



## Ecosystem Dependency Risk (First Look)

### Discussion

*Many Shopify app developers built entire businesses inside Shopify's App Store. When Shopify later launched its own native version of a popular app category, it competed directly with the developers whose apps had proven the demand existed.*

**Is this a fair move by Shopify, or a betrayal of its own ecosystem? If you were building on top of someone else's platform today, what would you do differently knowing this could happen?**

## Core Interaction Blueprint

Sketch this for your own project idea



## What we did today

- Core interaction: participants + value unit + filter, brought to life by pull, facilitate, match
- Openness — who builds on you — and own/partner/affiliate as a tool for deciding
- Plugging in vs. building, UGC as a flywheel, and a first look at dependency risk

## Next Session

### **Session 4 – Launching a Platform – Solving the Cold Start & Chicken-and-Egg**

*Questions or want to talk further? Find me on LinkedIn, send me email or set up a 1:1 Zoom*